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Secure Distribution Venture Pvt. Ltd.

# What Is SPV-Based Structures ?

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# Chapter 1: Product Overview & Core Fundamentals

**Product Definition & Strategic Paradigm:** A Special Purpose Vehicle (SPV)—also known as a Special Purpose Entity (SPE) or bankruptcy-remote entity—is a distinct, legally legally independent corporate or trust entity created by a sponsor, parent enterprise, or financial institution to execute a specific, narrow, and predefined financial or operational objective. In modern Indian corporate finance, SPV-based structures represent the foundational pillar of non-recourse project finance, infrastructure development (HAM/BOT toll roads, solar and wind power parks, ports, transmission lines), asset securitisation, real estate monetization (InvITs and REITs), cross-border acquisition finance, and structured private credit.

**The Principle of Bankruptcy Remoteness & Non-Recourse Isolation:** The core economic philosophy of an SPV structure lies in the absolute legal, financial, and operational segregation of a specific asset pool or infrastructure project from the balance sheet, liabilities, and operational risks of its parent sponsor. By isolating project assets and dedicated cash flows within a standalone legal entity, SPVs achieve 'bankruptcy remoteness.' This ensures that if the parent sponsor enters corporate insolvency, financial distress, or liquidation, the creditors of the parent company have zero legal claim over the SPV's assets or cash flows. Conversely, if the SPV project experiences operational failure, the lenders to the SPV hold non-recourse debt, meaning their credit recovery is strictly confined to the SPV's assets, escrow accounts, and project contracts, without recourse to the general balance sheet of the parent sponsor.

**Evolution in the Indian Financial Landscape:** In the Indian financial landscape, the evolution of SPV-based structures has transformed wholesale banking from traditional corporate balance-sheet lending to cash-flow-based structured project credit. Large-scale capital investments in national infrastructure projects—such as the National Highways Authority of India (NHAI) Hybrid Annuity Model (HAM) corridors, mega-watt solar parks under the Solar Energy Corporation of India (SECI), and power transmission lines—are almost exclusively structured through dedicated project SPVs. Furthermore, financial institutions, NBFCs, and private credit funds utilize SPV trusts to execute structured asset securitisations (Pass-Through Certificates) and structured debt notes under RBI directions.

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## SPV vs. Parent Corporate Balance Sheet Architecture

Understanding the fundamental structural differences between direct corporate balance-sheet lending and SPV-based structured financing is essential for wholesale credit underwriters and corporate finance professionals:

| Structural Dimension | Direct Parent Corporate Debt | SPV-Based Structured Debt |
|---|---|---|
| **Legal Entity Identity** | Operating Parent Enterprise (Multi-business, open balance sheet). | Bankruptcy-Remote Single-Purpose Entity (Company/Trust). |
| **Debt Recourse Scope** | Full Recourse to entire parent corporate assets & cash flows. | Non-Recourse / Limited Recourse strictly to SPV assets & Escrow. |
| **Underwriting Focus** | Historical consolidated EBITDA, corporate rating, general balance sheet. | Projected ring-fenced project cash flows, DSCR, PPA/Concession agreement. |
| **Credit Contagion Risk** | Parent insolvency defaults all underlying operating divisions. | SPV is legally isolated; Parent insolvency does not affect SPV assets under IBC. |
| **Leverage Capacity** | Constrained by corporate Net Debt/EBITDA and bank exposure limits. | Off-balance sheet or isolated high leverage (70:30 to 80:20 Debt-Equity). |

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# Chapter 2: How the SPV Structure Works & Structural Taxonomy

**Taxonomy of SPV Vehicles in India:** SPV-based structures are tailored around the precise financial, legal, and operational objectives of a transaction. In India, four primary structural taxonomies dominate the wholesale credit and capital markets:

- **1. Project SPV Company (Special Purpose Private Limited):** Incorporated under the Companies Act 2013 as a Special Purpose Private Limited Company. Designed specifically to hold a long-term concession (e.g., NHAI HAM road project), build-own-operate power plant, or real estate development. The SPV executes all project contracts, holds statutory licenses, raises project debt, and services lenders through an Escrow cash waterfall.
- **2. Securitisation SPV Trust (Special Purpose Trust):** Established as a bankruptcy-remote Special Purpose Trust under the Indian Trusts Act 1882, governed by an independent SEBI-registered Debenture/Security Trustee. Utilized extensively in asset securitisation (Pass-Through Certificates - PTCs), direct assignment pools, and private credit structured debt notes.
- **3. Hybrid Infrastructure Investment Trust (InvIT / REIT SPV):** Established under SEBI (Infrastructure Investment Trusts) Regulations 2014 or SEBI (Real Estate Investment Trusts) Regulations 2014. InvITs/REITs hold 100% or controlling equity stakes in multiple operating project SPVs (HoldCo/OpCo structure), pooling operating cash flows to issue yield-bearing units to institutional and retail investors.
- **4. Offshore / Cross-Border Acquisition SPV:** Incorporated in international jurisdictions (such as Singapore, IFSC GIFT City, Netherlands, or Mauritius) by Indian corporate groups to execute cross-border M&A acquisitions, issue External Commercial Borrowings (ECBs), or raise overseas dollar debt backed by target company equity pledges.

## The Ring-Fenced Cash Flow Architecture & Escrow TRA Waterfall

The operational viability of an SPV-based loan depends on the absolute ring-fencing of its cash inflows. All revenues generated by the SPV—whether annuity payments from NHAI, electricity sales to SECI, or lease rentals from commercial tenants—must be deposited directly into a designated Escrow / Trust and Retention Account (TRA) managed by an independent Agent Bank on behalf of the lenders. The TRA agreement prescribes a rigid, legally binding cash flow priority waterfall:

- **Priority 1:** First Priority: Statutory dues, GST, land revenue, and government taxes.
- **Priority 2:** Second Priority: Essential Operation & Maintenance (O&M) expenses capped within approved annual budget limits.

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- **Priority 3:** Third Priority: Senior debt monthly interest servicing and principal amortization.
- **Priority 4:** Fourth Priority: Debt Service Reserve Account (DSRA) and Major Maintenance Reserve Account (MMRA) replenishment.
- **Priority 5:** Fifth Priority: Subordinated debt servicing or cash sweep mechanisms during covenant trigger events.
- **Priority 6:** Sixth Priority: Surplus cash distribution to parent sponsor as dividends (subject to restricted payment covenants).

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# Chapter 3: Regulatory, Accounting & Statutory Framework in India

**The Statutory & Regulatory Ecosystem:** SPV-based structures operate at the intersection of several critical Indian statutory frameworks, central bank regulations, and accounting standards. A thorough understanding of these laws is mandatory for financial rookies and credit analysts:

## 1. Companies Act 2013 Framework

- **Section 2(87) Subsidiary Rules:** Section 2(87) defines subsidiary relationships. SPVs are created as subsidiaries or step-down subsidiaries of parent corporations or holding companies, requiring compliance with incorporation, independent directorship, and board governance rules.
- **Section 186 (Loans & Investments):** Governs inter-corporate loans, guarantees, and investments. While Section 186 places caps on intra-group financial exposure (60% of paid-up capital + free reserves OR 100% of free reserves), investments made by parent companies into infrastructure project SPVs enjoy statutory exemptions under sub-section (11), enabling full capital deployment.
- **Sections 230-232 (Corporate Restructuring & Demergers):** Provides the statutory mechanism for corporate demergers, asset transfers, and slump sales into dedicated SPVs, facilitating clean asset isolation and joint-venture equity monetization.

## 2. Indian Accounting Standards (Ind AS 110 & Ind AS 109)

- **Ind AS 110 (Consolidation & De-Facto Control Test):** Ind AS 110 sets the accounting rules for consolidated financial statements. An entity must consolidate an SPV if it 'controls' the SPV. Control exists when the investor has (a) power over the SPV, (b) exposure/rights to variable returns, and (c) the ability to use power to affect returns. If a parent sponsor retains de-facto operational control over a project SPV, its financial statements must be consolidated on the parent's balance sheet, even if debt is non-recourse.
- **Ind AS 109 (Financial Instruments & True Sale Derecognition):** Governs financial asset derecognition for securitisation SPVs. Off-balance sheet derecognition is granted only when 'substantially all risks and rewards' of ownership are transferred from the originator to the SPV trust via a valid legal True Sale.

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## 3. RBI Frameworks & SEBI InvIT/REIT Norms

- **RBI Master Directions on Securitisation (2021 & 2025 Draft):** Mandates a minimum holding period (MHP), minimum retention requirement (MRR of 5%-10%), and bankruptcy-remote true-sale standards for asset securitisation SPV trusts.
- **SEBI InvIT & REIT Regulations 2014:** Allows InvITs and REITs to raise aggregate net debt up to 70% of InvIT asset value, provided the InvIT holds at least a 6-month track record and secures a AAA credit rating. Requires at least 80% of InvIT assets to be invested in revenue-generating operating SPVs.

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## Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

**Underwriting Philosophy for SPVs:** Because SPVs are standalone entities—often with zero prior operating history at inception (in greenfield projects)—traditional balance-sheet underwriting based on historical financials cannot be applied. Lenders evaluate SPVs using cash-flow predictability, contractual robustness, and structural ring-fencing:

| Underwriting Parameter | Target Metric / Benchmark | Credit & Risk Assessment Significance |
|---|---|---|
| **Debt-to-Equity Ratio (DER)** | 70:30 to 80:20 (Infra) / 60:40 (Real Estate) | Ensures substantial promoter equity skin-in-the-game prior to debt drawdowns. |
| **Debt Service Coverage Ratio (DSCR)** | Minimum Average 1.25x to 1.50x; Minimum Year 1.15x | Protects debt servicing capacity against revenue dips or cost overruns. |
| **Contractual Offtaker Rating** | AAA / AA (NHAI, SECI, Central Counterparties) | Eliminates counterparty credit risk and ensures guaranteed cash flow inflows. |
| **Asset Cover Ratio (ACR)** | Minimum 1.25x to 1.50x Net Tangible Fixed Assets | Provides physical collateral protection over project land, plant, and machinery. |
| **Independent Board Governance** | Minimum 1 Independent Director; Independent Trustee | Enforces bankruptcy remoteness and prevents unauthorized parent cash siphoning. |

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# Chapter 5: Security Architecture & Master Documentation Suite

**Comprehensive Security Package:** The security package for SPV-based debt is designed to give lenders absolute control over the SPV's physical assets, project contracts, escrow bank accounts, and equity ownership in the event of default:

- **1. Fixed Asset Mortgage & Charge:** First pari-passu charge on all movable and immovable fixed assets of the SPV, including project land, buildings, plant, machinery, transmission lines, and civil structures.
- **2. Hypothecation of Receivables & Current Assets:** First pari-passu charge on all current assets, project accounts, receivables, cash balances, book debts, and inventory of the SPV.
- **3. Share Pledge & Non-Disposal Undertaking (NDU):** Exclusive pledge of 51% to 100% of the dematerialized equity shares of the SPV held by the parent sponsor, coupled with an Irrevocable Power of Attorney (POA) and Non-Disposal Undertaking (NDU).
- **4. Assignment of Contracts & Intangible Rights:** Assignment of all project contracts—including Concession Agreements (NHAI), Power Purchase Agreements (PPAs with SECI/Discoms), EPC Contracts, O&M Contracts, and Performance Guarantees.
- **5. Substitution Rights & Direct Agreements:** Tripartite agreement executed between the Concessioning Authority (e.g., NHAI), the SPV, and the Senior Lenders. Grants lenders the statutory right to step in, remove the defaulting sponsor, and substitute a new qualified operator to preserve project cash flows.

## Master Legal Documentation Suite

- **Document 1:** Master Credit Facility Agreement / Debenture Trust Deed (DTD)
- **Document 2:** Trust & Retention Account (TRA) / Escrow Agreement
- **Document 3:** Indenture of Mortgage & Deed of Hypothecation
- **Document 4:** Share Pledge Agreement & Irrevocable Power of Attorney
- **Document 5:** Tripartite Substitution Agreement (Concession Authority, SPV, Lenders)
- **Document 6:** Sponsor Undertaking for Cost Overruns & Debt Service Shortfalls
- **Document 7:** Statutory Registration: ROC Form CHG-1 filing within 30 days under Section 77 of Companies Act 2013, CERSAI registration, and NeSL IU upload.

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# Chapter 6: Indicative Tenure, Pricing Framework & Yield Mechanics

**Tenure Profiles Across SPV Categories:** The tenure and pricing profile of SPV-based debt depends on the underlying asset class, construction risk, and offtaker credit quality:

- **Category A:** Construction / Greenfield SPV Debt: 12 to 36 months bridge/construction loan converted into long-term facility upon Commercial Operation Date (COD).
- **Category B:** Operational Infrastructure SPV Debt (NHAI HAM / Solar): 7 to 20 years long-term amortization, aligned with 15-to-25 year concession/PPA lifespans.
- **Category C:** Securitisation SPV Pass-Through Certificates (PTCs): 12 to 60 months, matching underlying retail loan pool maturities.
- **Category D:** InvIT / REIT Unit Debt Lines: 3 to 10 years, refinanced periodically through capital market bond issuances.

## Pricing & Coupon Structure

Interest rates on SPV loans are structured as floating benchmark rates (RBI Repo Rate, 91-Day T-Bill, or MCLR) plus a credit risk spread. Operational SPVs backed by central government counterparties (NHAI/SECI) secure highly competitive rates ranging from 7.85% to 9.25% p.a. Private credit SPV facilities and structured debt notes yield 12.50% to 16.00% p.a. All-In YTM.

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## Chapter 7: Suitable Industries, Business Profiles & Strategic Use Cases

**Prime Industry Applicability:** SPV-based structures are best suited for capital-intensive sectors requiring long-term asset-backed financing, contractual cash flow ring-fencing, or balance sheet de-leveraging:

- **1. Transportation & Infrastructure:** Roads, highways, expressways (HAM & BOT models), power transmission networks, deep-water ports, and airport expansions.
- **2. Renewable Energy & Clean Tech:** Utility-scale solar power parks, wind energy installations, battery energy storage systems (BESS), and green hydrogen units.
- **3. Commercial Real Estate & Logistics:** Grade-A commercial office parks, warehousing hubs, data centers, and retail shopping malls (LRD & REIT SPVs).
- **4. Financial Services & Securitisation:** Banks, NBFCs, and housing finance companies monetizing loan books through bankruptcy-remote securitisation SPV trusts.
- **5. Corporate Joint Ventures & Cross-Border M&A:** Holding companies isolating foreign acquisitions, joint ventures, and technology IP development into dedicated SPVs.

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## Chapter 8: Key Advantages & Structural Limitations

A balanced evaluation of SPV-based structures reveals significant strategic benefits alongside operational and legal complexities:

| Key Advantages of SPV Structures | Structural Limitations & Risks |
|---|---|
| **Bankruptcy Remoteness: Isolates project assets from parent solvency/liquidation under IBC 2016.** | Administrative Overhead: Multi-entity maintenance, compliance, and ROC filings. |
| **Non-Recourse Leverage: Protects parent enterprise balance sheet from project failure risks.** | Ind AS 110 Consolidation Risk: Retained operational control forces balance sheet consolidation. |
| **Optimized Cost of Debt: Ring-fenced cash flows and strong offtakers (NHAI) lower interest rates.** | High Structuring & Legal Costs: Extensive documentation, TEV reports, and legal opinions required. |
| **Asset Monetisation: Enables sponsors to sell equity stakes or transfer assets into InvITs/REITs.** | Rigid Cash Waterfall: Escrow TRA covenants block dividend upstreaming during cash flow stress. |
| **Risk Pooling & Co-Investment: Facilitates clean joint-venture equity structures with PE investors.** | Complex Enforcement: Lender step-in rights require concession authority approvals. |

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# Chapter 9: Comprehensive Real-World Case Study

**Case Study Context:** To illustrate the practical execution of a hybrid infrastructure SPV structure, consider the case of Apex InfraProjects Limited (AIPL), a leading Indian infrastructure developer.

**Project Overview & Financing Structure:** AIPL secured a 4-lane Highway Concession under NHAI's Hybrid Annuity Model (HAM) in Maharashtra. Total Project Cost was estimated at INR 1,200.00 Crores. Under the NHAI HAM framework, NHAI provides 40% of the project cost (INR 480.00 Crores) as construction grants in 5 equal milestone installments. The remaining 60% (INR 720.00 Crores) must be funded by the concessionaire via debt and equity. Post-construction, NHAI pays semi-annual annuity payments over 15 years along with interest (linked to RBI Repo Rate) and O&M inflation adjustments.

**SPV Incorporation & Capital Stack:** AIPL incorporated a dedicated Special Purpose Vehicle—'Apex Expressway Private Limited' (AEPL)—as a 100% subsidiary. AEPL executed the Concession Agreement with NHAI, isolating project liabilities from AIPL's parent balance sheet.

- **Capital Source 1:** NHAI Construction Grant (40%): INR 480.00 Crores (Disbursed in 5 milestone stages)
- **Capital Source 2:** Senior Secured Non-Recourse Term Debt (AIPL Consortium): INR 540.00 Crores (75% of remaining cost)
- **Capital Source 3:** Sponsor Equity Contribution (AIPL into AEPL): INR 180.00 Crores (25% of remaining cost)
- **Total Financing:** Total SPV Capital Stack: INR 1,200.00 Crores (Overall Debt-Equity Ratio of 75:25 on private funding)

## 5-Year Post-COD Financial Waterfall Model (INR Crores)

Following Commercial Operation Date (COD), AEPL received semi-annual NHAI annuities, interest payments, and O&M allowances deposited directly into the Escrow TRA account:

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| Cash Waterfall Metric | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 |
|---|---|---|---|---|---|
| **Gross NHAI Annuity & Interest** | 102.50 | 105.80 | 108.20 | 111.50 | 114.80 |
| **Less: Statutory Taxes & O&M** | (12.00) | (12.60) | (13.20) | (13.80) | (14.40) |
| **Net Cash Available for Debt (CFADS)** | 90.50 | 93.20 | 95.00 | 97.70 | 100.40 |
| **Senior Debt Interest & Principal** | (62.40) | (60.10) | (57.80) | (55.50) | (53.20) |
| **Surplus Cash Available for Dividend** | 28.10 | 33.10 | 37.20 | 42.20 | 47.20 |

**Case Study Outcome & Monetisation:** Key Financial Insight: Throughout the 5-year operating period, AEPL maintained a robust average Debt Service Coverage Ratio (DSCR) of 1.45x to 1.88x. Because NHAI is a AAA-rated central government entity, counterparty default risk was zero. In Year 4, parent AIPL monetized its 100% equity stake in AEPL by transferring the operating SPV into a listed Infrastructure Investment Trust (InvIT) at an Enterprise Value of INR 1,050.00 Crores, generating an Equity Internal Rate of Return (IRR) of 22.4% for AIPL while transferring debt completely off its balance sheet.

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# Chapter 10: Legal Framework under IBC 2016 & Enforcement Protocols

**IBC Statutory Protections for SPVs:** The enactment of the Insolvency and Bankruptcy Code (IBC) 2016 significantly strengthened the legal framework surrounding bankruptcy remoteness and SPV enforcement in India:

## 1. Bankruptcy Remoteness under Sections 18 & 36(4)

- **Section 18 Asset Exclusion:** Section 18 of the IBC defines the duties of the Interim Resolution Professional (IRP) to take control of the debtor's assets. Crucially, Explanation (a) to Section 18 explicitly clarifies that assets owned by a third party or SPV trust—which are merely held in trust or under contractual possession by the corporate debtor—shall NOT be treated as assets of the corporate debtor.
- **Section 36(4) Liquidation Estate Exclusion:** Section 36(4)(a) explicitly excludes assets held by the corporate debtor in trust for any third party (such as an SPV Securitisation Trust) from the liquidation estate. If a parent corporate sponsor enters CIRP or liquidation, the assets and escrow accounts of its project SPVs are legally protected and cannot be attached by parent creditors.

## 2. Lender Enforcement & Concessionaire Substitution

If a project SPV itself defaults on debt servicing, senior lenders initiate enforcement under the SARFAESI Act 2002 by invoking share pledges or enforcing mortgage security. Furthermore, under Tripartite Substitution Agreements executed with concession authorities (e.g., NHAI), senior lenders possess the statutory right to step in and substitute the defaulting SPV sponsor with a new qualified infrastructure operator, ensuring uninterrupted concession annuity flows without triggering liquidation.

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# Chapter 11: Rookie Mastery Examination

**Self-Assessment & Mastery Test:** This examination features 15 high-yield, structured test questions with comprehensive answer explanations designed to test full mastery of SPV-based structures in India:

### Q1: What is the primary legal and economic purpose of creating a Special Purpose Vehicle (SPV)?

Answer: The primary purpose is to establish a standalone, legally independent, and bankruptcy-remote entity that isolates a specific asset pool, infrastructure project, or transaction from the balance sheet, operational risks, and liabilities of the parent sponsor.

### Q2: Explain the concept of 'Bankruptcy Remoteness' in the context of an SPV.

Answer: Bankruptcy remoteness ensures that if the parent corporate sponsor becomes insolvent or enters liquidation under IBC 2016, the creditors of the parent have no legal claim over the SPV's assets or cash flows. Conversely, SPV lenders hold non-recourse debt limited strictly to SPV assets.

### Q3: What is the difference between Non-Recourse Debt and Full-Recourse Debt?

Answer: Full-recourse debt allows lenders to claim against the entire general balance sheet and cash flows of the parent company upon default. Non-recourse debt restricts lender recovery strictly to the assets, escrow cash flows, and project contracts of the borrowing SPV.

### Q4: How does a Trust and Retention Account (TRA) / Escrow cash waterfall protect senior SPV lenders?

Answer: A TRA agreement mandates that all SPV gross revenues be deposited into a ring-fenced bank account. Cash is disbursed strictly according to a legally binding priority waterfall: Statutory Taxes -> Essential O&M -> Senior Debt Servicing -> Reserve Replenishment -> Surplus Dividends.

### Q5: Under Companies Act 2013, which section governs inter-corporate investments and provides exemptions for infrastructure SPVs?

Answer: Section 186 governs inter-corporate loans and investments. Sub-section (11) provides statutory exemptions for investments made by parent entities into infrastructure project SPVs, enabling full equity funding beyond standard caps.

### Q6: What is the de-facto control test under Ind AS 110, and how does it affect parent balance sheet consolidation?

Answer: Ind AS 110 mandates that if a parent sponsor exercises 'control' over an SPV (power over decision-making, exposure to variable returns, and ability to affect returns), the SPV's financial statements must be consolidated on the parent's balance sheet.

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### Q7: What is a Tripartite Substitution Agreement, and why is it critical for infrastructure SPV lenders?

Answer: It is an agreement between the concession authority (e.g., NHAI), the SPV, and senior lenders. It grants lenders the legal right to step in and substitute a defaulting SPV sponsor with a new operator, preserving concession annuities.

### Q8: What is the typical Debt-to-Equity ratio range for an infrastructure project SPV in India?

Answer: The typical Debt-to-Equity ratio ranges from 70:30 to 80:20 (e.g., 75% debt and 25% promoter equity on non-grant project costs).

### Q9: How does the NHAI Hybrid Annuity Model (HAM) reduce traffic volume risk for a highway SPV?

Answer: Under NHAI HAM, NHAI pays fixed semi-annual annuity payments, interest (linked to Repo Rate), and O&M adjustments directly to the SPV. Traffic collection risk is borne entirely by NHAI, eliminating demand risk for SPV lenders.

### Q10: What are the statutory requirements under SEBI InvIT Regulations for investing in operating SPVs?

Answer: SEBI InvIT regulations require at least 80% of InvIT asset value to be invested in revenue-generating, operating infrastructure SPVs, with aggregate net debt capped at 70% of InvIT asset value.

### Q11: Under IBC 2016, how are SPV trust assets protected when the parent originator enters liquidation?

Answer: Sections 18 and 36(4)(a) of the IBC explicitly exclude third-party assets and assets held in trust by the corporate debtor from the liquidation estate, preserving SPV bankruptcy remoteness.

### Q12: What is the function of a Debt Service Reserve Account (DSRA) in an SPV debt facility?

Answer: A DSRA requires the SPV to maintain 1 to 2 quarters of upcoming principal and interest servicing in liquid fixed deposits or bank guarantees, providing a cash cushion against temporary revenue delays.

### Q13: Name three major security documents executed in a project SPV financing transaction.

Answer: (1) Indenture of Mortgage & Deed of Hypothecation, (2) Share Pledge Agreement & NDU, and (3) Trust & Retention Account (TRA) Escrow Agreement.

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### Q14: What is the difference between a Greenfield SPV and an Operational Brownfield SPV?

Answer: A Greenfield SPV is a newly created entity building a project from scratch with construction risk. A Brownfield SPV holds an operating, revenue-generating asset with an established cash flow history.

### Q15: Why is ROC Form CHG-1 filing mandatory within 30 days under Section 77 of the Companies Act 2013?

Answer: Form CHG-1 registers the creation of mortgage and hypothecation charges with the Registrar of Companies (ROC). Failure to file within 30 days makes the security charge void against liquidators and competing creditors.

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